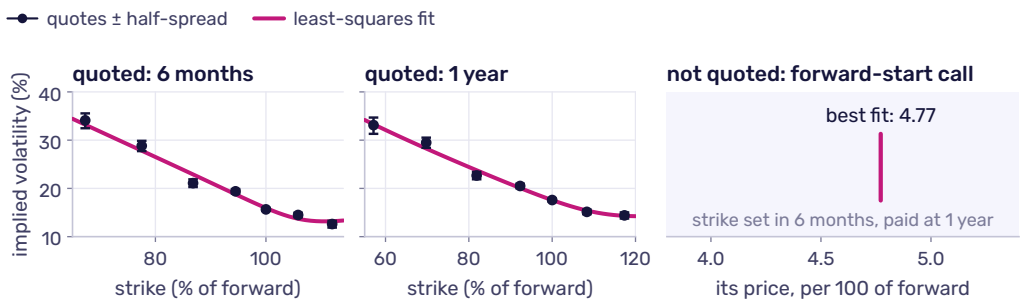
quotes ± half-spread
least-squares fit
quoted: 6 months
quoted: 1 year
not quoted: forward-start call
implied volatility (%)
40
30
20
10
80
100
60
120
strike (% of forward)
strike (% of forward)
best fit: 4.77
strike set in 6 months, paid at 1 year
4.0
4.5
5.0
its price, per 100 of forward